

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 22-17

BAKERLY, LLC

COMPLAINANT,

v.

SEAFRIGO USA INC.

RESPONDENT.

**RESPONDENT SEAFRIGO USA, INC.'S ANSWER
TO BAKERLY, LLC'S COMPLAINT**

Respondent Seafrigo USA Inc. ("Respondent" or "Seafrigo") hereby files this Answer to the Complaint of Bakerly, LLC ("Bakerly") as follows:

Introduction

Bakerly seeks to avoid having to pay demurrage and detention ("D&D") charges paid for or assessed against Seafrigo by steamship lines or terminals which costs were then passed on to Bakerly. Seafrigo paid such charges in advance so as to obtain the release of Bakerly containers from the steamship line or terminal. The vast majority of the payments in dispute consist of straight pass-through charges with no mark up by Seafrigo. *See e.g.*, Bakerly Exh. 3 (NRA - Accessorial Tariff) reflecting that demurrage and detention charges are assessed at cost per underlying carrier.) It was only in October 2021 that Seafrigo began having to impose administrative charges and fees on such advances because Seafrigo had paid substantial amounts to steamship lines or terminals on behalf of Bakerly for which Bakerly had not repaid Seafrigo despite its contractual obligation

to do so. Bakerly failed to repay such invoices despite having been repeatedly invoiced for such amounts and reminded of the amounts past due. Thus, the overwhelming amount in dispute consists of payments made by Seafrigo to third parties rather than independent charges assessed by Seafrigo.

The D&D charges assessed by steamship lines or terminals primarily arose from two main categories. D&D charges often arose from an inability to pick up containers from a port or terminal, or to return empty containers to the port or terminal, because of nationwide congestion that plagued the ocean transportation industry in 2021 and early 2022. Such charges were in no way caused by or attributable to Seafrigo and thus claims relating to such are expressly barred by Tariff Rule 6.5(h), Exh. 5 (Seafrigo is not responsible for any cause or event which Seafrigo could not avoid and the consequences of which it could not prevent by the exercise of due diligence.).

The second primary factor triggering D&D charges for Bakerly was that Bakerly's warehousing system was deficient. Thus, when Bakerly's containers arrived at the port or terminal, Bakerly was not in a position to receive the containers either because it lacked space to accept them or because its warehouse operators could not coordinate receipt of the containers. As a result, Bakerly's containers sat at terminals for extended periods of time during which time steamship lines or terminals assessed large amounts of demurrage charges. For an extended period, Bakerly was on notice of the charges that were accruing due to its dysfunctional warehousing operations but failed to correct the problem. Ultimately, the situation became so bad that Bakerly terminated its relationship with one of its warehouse operators, but significant amounts of demurrage accrued prior (and even subsequent) to that time. Bakerly's defective warehousing system also caused significant detention charges to accrue because containers could not be emptied and made available for return to the port or terminal. Bakerly's dysfunctional warehousing system

also made it difficult to retain truckers willing to service Bakerly loads knowing that extended unnecessary time would have to be spent in waiting to deliver, unload, and return its containers. All D&D falling into this category was a direct result of the negligence of Bakerly. In this regard, there is no legitimate dispute that Bakerly is contractually obligated to pay D&D pursuant to Seafrigo's bill of lading terms and conditions and its tariff.

Bakerly's Complaint largely ignores the fact that the D&D charges at issue are merely pass-through charges from steamship lines and terminals and was the result of a nationwide ocean transportation breakdown. It also wholly ignores the fact that its own defective warehousing operations caused the D&D charges at issue. Instead, Bakerly suggests that the D&D was entirely attributable to Seafrigo's purported inability to hire its own truckers during that time. This is a fallacy as Seafrigo regularly hired third party truckers to provide drayage services before and after the time period at issue. Further, as reflected above, a purported shortage of truckers was not the reason for much of the D&D at issue and, to the extent there was difficulty in retaining truckers it was due to their unwillingness to work with Bakerly's dysfunctional warehousing system. Finally, the contention that Seafrigo provided inadequate services is belied by the fact that the average Dwell time (the time containers sat idle beyond free time and thus incurred charges) for the containers at issue was within the reported average for the relevant ports.

Bakerly's actions here reflect a cynical and bad faith attempt to take unfair advantage of Seafrigo. Throughout the time period at issue Bakerly was fully aware that Seafrigo was going out of its own pocket to pay steamship lines and terminals for assessed D&D charges in order to allow Bakerly's containers to be released. Bakerly at no time instructed Seafrigo that it should not do so. Instead, it strung Seafrigo along with empty promises that it needed to further review invoices and then, after Seafrigo informed it that Seafrigo could no longer advance D&D payments

on its behalf without having its outstanding invoices paid, and after Seafrigo had incurred millions of dollars in charges on its behalf, Bakerly brought this Complaint. The cynical and deceitful nature of Bakerly's actions is further evidenced by the fact that Bakerly has not even paid Seafrigo for over \$800,000 in freight charges for services provided even though there is no dispute that such charges are owed and despite the fact that the Seafrigo bill of lading terms and conditions provide that such charges are deemed owed upon booking. Seafrigo's Rules Tariff further expressly provides that all freight and charges are payable without refund or offset. *See Bakerly Exh. 5 Rule 5.* Bakerly's failure to pay freight charges thus reflects a callous disregard for its contractual obligations.

Complaint

1. Seafrigo denies paragraph 1 of Bakerly's complaint.

Parties and Other Entities

2. Seafrigo has insufficient information to admit or deny paragraph 2 of the Bakerly complaint and therefore denies same.
3. Admit.
4. Admit.
5. The Bakerly Complaint does not include a paragraph 5.
6. Admit.
7. Admit.

Jurisdiction

8. Seafrigo admits the FMC has subject matter jurisdiction over actions alleging Shipping Act violations. Seafrigo denies that it has violated the Shipping Act.
9. Admit.

Bakerly's Alleged Facts

10. Admit.

11. Seafrigo admits that Seafrigo was chosen to handle imported reefer containers for Bakerly for door delivery. Seafrigo has insufficient information to admit or deny whether Bakerly chose to have Seafrigo handle 100% of its imported refer containers and therefore denies same.

12. Seafrigo asserts that the Seafrigo bill of lading terms and conditions, and the NRA terms speak for themselves. Seafrigo does not dispute the amount of D&D charges which were passed through by Seafrigo.

13. Seafrigo asserts that the Seafrigo bill of lading terms and conditions and Rules Tariff speak for themselves. Sefrigo denies that paragraph 23.1 of Seafrigo's bill of lading terms state the bill of lading is subject to Seafrigo's Rules Tariff as the bill of lading terms do not include a Rule 23.1. Seafrigo further denies that Bakerly's obligation to timely pick up (or make containers available for timely pick up and return) does not apply to door deliveries. *See, e.g.*, Tariff Rule 9.4 (Merchant undertakes to return containers to or Merchant shall pay Carrier for the demurrage or detention charge applicable to the containers); Rule 15.2 (Merchant shall be liable to Carrier for any detention charges imposed on Carrier by VOCC as result of Merchant's failure to return containers within applicable free time; Rule 17.1 (Merchant, by tendering shipments to Carrier for transportation, appoints Carrier as its agent for acquiring containers and chassis for such transportation and agrees to free time, as well as demurrage and detention, storage and other charges that accrue with respect to containers and chassis used for such transportation, all of which shall be for the account of the Merchant except to the extent solely attributable to actions or omissions of Carrier.) Thus, the applicable bill of lading terms and conditions and Rules Tariff do

not excuse Bakerly from its obligations to have space available for delivery of its containers or to timely empty containers and make them available for return.

14. Seafrigo denies that Bakerly had not received invoices reflecting D&D charges prior to December of 2020 Seafrigo denies that it had poor performance and that it was under an obligation to provide legal advice to Bakerly, which is a sophisticated entity represented by high-powered attorneys. Seafrigo admits that the New York snowstorm and port closure were not its responsibility. *See* Bakerly Exh. 5, Tariff Rule 6.5(h) (Seafrigo is not responsible for any cause or event which Seafrigo could not avoid and the consequences of which it could not prevent by the exercise of due diligence). Seafrigo admits that Bakerly agreed to pay the charges at issue. Seafrigo admits that there was a meeting between Seafrigo and Bakerly. Seafrigo denies the remainder of paragraph 14 of the Bakerly Complaint.

15. Seafrigo denies that pass through demurrage charges imposed by VOCCs were a result of Seafrigo's actions in failing to remove containers within applicable free time. Instead, such pass-through charges assessed by VOCCs and terminals were the result of: 1) congestion which was not attributable to Seafrigo, *see* Bakerly Exh. 5, Tariff Rule 6.5(h); or 2) Bakerly's failure to have locations available for delivery of containers. Seafrigo denies that Bakerly was not aware of invoices that had been issued reflecting amounts owed. Seafrigo denies that throughout the time period at issue it was not invoicing Bakerly for detention and demurrage charges that were accruing. To the extent that Bakerly was not aware of the charges it had failed to pay, it was due to Bakerly's own neglect. Seafrigo also asserts that it timely informed Bakerly that demurrage charges were accruing due to Bakerly's inability to provide locations for delivery of its containers. Seafrigo admits that it sought payment of outstanding invoices which included amounts it had

advanced to steamship lines and terminals. Seafrigo denies the remainder of the allegations in paragraph 15 of Plaintiff's Complaint.

16. Seafrigo admits that it had communications with Bakerly regarding unpaid demurrage and detention fees that continued to accrue. Seafrigo admits that it informed Bakerly it needed to clear its balance, which Bakerly failed to do. Seafrigo admits that it agreed to issue a \$30,000 credit as a commercial gesture of good faith to Bakerly and that it did not admit to any failure regarding the invoices at issue. Seafrigo denies that it failed to provide information regarding the invoices at issue or that its efforts to provide weekly reports on D&D charges were deficient. Seafrigo denies the remainder of the allegations in paragraph 16 of Bakerly's Complaint.

17. Seafrigo does not dispute the amount of D&D charges which were passed through by Seafrigo. Seafrigo denies that it improperly billed or collected amounts owed by Bakerly or that allegedly incorrect invoices prevented Bakerly from paying invoices owed to Seafrigo. Seafrigo is unsure what Bakerly is alleging regarding the issuance of more than one invoice on purchase orders. The issuance of more than one invoice does not reflect double billing but instead is a common practice in the industry whereby supplemental invoices have to be issued when demurrage or detention continues to accrue and/or when new bills are received from third parties which bills are the responsibility of the shipper or consignee. Seafrigo denies the remainder of the allegations in paragraph 17 of Plaintiff's Complaint.

18. Seafrigo denies that the six invoices, out of the multitude of invoices issued and not paid by Bakerly, were incorrect. Seafrigo denies the remainder of the allegations in paragraph 18 of Plaintiff's Complaint.

19. Seafrigo denies that the Ocean Shipping Reform Act of 2022 governs the transportation at issue. To the extent that it does apply, Seafrigo is entitled to rely upon the safe

harbor provision for NVOCCs contained therein. Seafrigo denies the remainder of paragraph 19 of the Bakerly Complaint.

20. Seafrigo denies that it ran its business under capacity or that it so represented. Seafrigo admits that there was a meeting between Seafrigo and Bakerly. Seafrigo denies the remainder of paragraph 20 of the Bakerly Complaint.

21. Seafrigo denies paragraph 21 of the Bakerly Complaint.

22. Seafrigo does not dispute the amount of D&D charges which were passed through by Seafrigo. Seafrigo denies the remainder of paragraph 22 of the Bakerly Complaint.

Bakerly's Alleged Causes of Action

COUNT 1

23. Seafrigo incorporates by reference its answers to Paragraphs 1-22 of the Bakerly Complaint.¹

24. Paragraph 24 of the Bakerly Complaint recites legal conclusions to which no response is required. To the extent that response is required, Seafrigo denies the allegations of Paragraph 24 of the Complaint. Seafrigo also denies that the Seafrigo bill of lading terms and conditions contain a paragraph 23.1. *See also* response to Paragraph 13 of Bakerly Complaint.

25. Paragraph 25 of the Bakerly Complaint recites legal conclusions to which no response is required. To the extent that response is required, Seafrigo denies the allegations of Paragraph 25 of the Bakerly Complaint. *See also* response to Paragraph 13 of Bakerly Complaint.

26. Paragraph 26 of Bakerly's Complaint recites legal conclusions to which no response is required. To the extent that response is required, Seafrigo denies the allegations of Paragraph 26 of the Bakerly Complaint. *See also* response to Paragraph 13 of Bakerly Complaint.

¹ The Bakerly Complaint only seeks to incorporate paragraphs 1-20.

27. Paragraph 27 of Bakerly's Complaint recites legal conclusions to which no response is required. To the extent that response is required, Seafrigo denies the allegations of Paragraph 27 of the Bakerly Complaint. Seafrigo further asserts that the NRA expressly provides that pursuant to Seafrigo's Standard Accessorial Tariff, demurrage and detention charges shall be at cost per carrier. *See* Bakerly Exh. 3.

28. Seafrigo denies Paragraph 28 of the Bakerly Complaint.

29. Seafrigo denies Paragraph 29 of the Bakerly Complaint.

COUNT 2

30. Seafrigo incorporates by reference its answers to Paragraphs 1-29 of the Bakerly Complaint.

31. Paragraph 31 of the Bakerly Complaint recites legal conclusions to which no response is required. To the extent that a response is required, Seafrigo denies the allegations of Paragraph 31 of the Bakerly Complaint.

32. Seafrigo denies paragraph 32 of the Bakerly Complaint.

33. Paragraph 33 of the Bakerly Complaint recites legal conclusions to which no response is required. To the extent that a response is required, Seafrigo denies the allegations of Paragraph 33 of the Bakerly Complaint.

COUNT 3

34. Seafrigo incorporates by reference its answers to Paragraphs 1-33 of the Bakerly Complaint.

35. Seafrigo denies that demurrage charges imposed by VOCCs and terminals were a result of Seafrigo's actions in failing to remove containers within the applicable free time. Instead, such pass-through charges were the result of: 1) congestion which was not attributable to Seafrigo;

or 2) Bakerly's failure to have locations available for delivery of containers. Seafrigo denies the remainder of paragraph 35 of the Bakerly Complaint.

36. Seafrigo denies that demurrage charges imposed by VOCCs or terminals were a result of Seafrigo's actions in failing to remove containers within the applicable free time. Instead, such pass-through charges from VOCCs or terminals were the result of: 1) congestion which was not attributable to Seafrigo; or 2) Bakerly's failure to have locations available for delivery of containers. Seafrigo denies the remainder of paragraph 36 of the Bakerly Complaint.

37. Seafrigo denies Paragraph 37 of the Bakerly Complaint.

Bakerly's Alleged Injury And Damages

38. Seafrigo denies paragraph 38 of the Bakerly Complaint, including that Bakerly has been injured by Seafrigo or suffered damages due to Seafrigo's actions. Seafrigo denies that Bakerly is entitled to damages, denies any alleged violations on the part of Seafrigo, and denies any alleged lack of due diligence on the part of Seafrigo.

Seafrigo's Affirmative Defenses

1. The Complaint fails to state a claim for which relief can be granted.
2. The Complaint is barred by the doctrines of waiver, estoppel, laches, and unclean hands.
3. The Complaint is barred by the terms and conditions of the applicable bills of lading.
4. The Complaint is barred by the terms of Seafrigo's tariff.
5. The Bakerly Complaint is barred by its failure to perform its obligations under its contracts with Seafrigo.

6. Seafrigo is insulated from liability from claims arising from demurrage and detention charges passed through from the applicable VOCC or terminal.

7. Seafrigo is not liable for claims caused by Bakerly's failure to have locations available for delivery of containers.

8. Seafrigo is not liable for claims caused by Bakerly's failure to timely unload and make containers available for return.

9. The Bakerly Complaint for damages is barred and/or limited by Bakerly's failure to mitigate damages.

10. Bakerly's claim for damages was caused by superseding or intervening acts or omissions attributable to Bakerly or other persons or entities over which Seafrigo had no control and over whom Seafrigo had no legal responsibility.

11. Seafrigo intends to rely on such other affirmative defenses as may become available or apparent in the course of discovery and, therefore, reserves its right to amend its Answer to assert such defenses.

WHEREFORE, Seafrigo prays that the Commission determine and adjudge that:

1. The Complaint be dismissed with prejudice;
2. Bakerly take nothing by way of damages;
3. That Seafrigo be awarded the \$2,610,317.76 in unpaid balance owed to Seafrigo by Bakerly;
4. That Seafrigo be awarded its costs, disbursement, attorneys' fees, and expenses incurred herein; and
5. That Seafrigo be awarded such other and further relief as the Commission may deem necessary and proper.

Date: August 22, 2022

Respectfully submitted,



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Attorney for Respondent Seafrigo USA Inc.

CERTIFICATE OF SERVICE

I do hereby certify that I have delivered a true and correct copy of the foregoing document to the parties to this proceeding by depositing same in the United States mail, first class postage prepaid, and/or via email transmission, this 22nd day of August, 2022.


Brendan Collins